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Market Briefs Pro

Read Less News

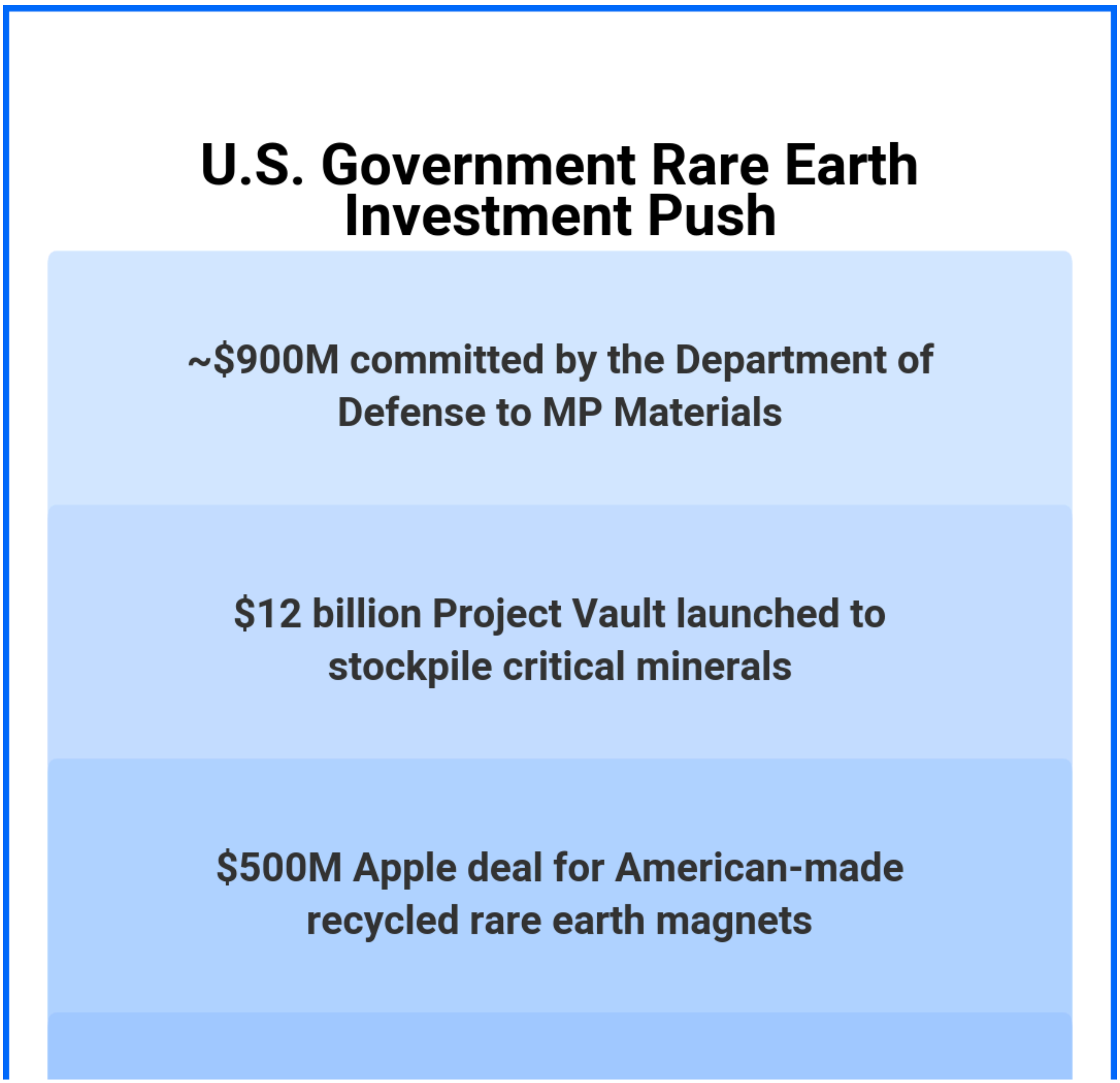
Good morning, Pro Briefers!

In August 2025, we told you that rare earths were about to become one of the biggest investment opportunities of the next decade.

Eight months later - every major signal we flagged has gotten stronger.

- The Pentagon bought a $400 million ownership stake in a U.S. rare earth company.
- China restricted exports of key minerals - twice.
- Apple locked in a $500 million deal for American-made magnets.

And the U.S. government created a $12 billion emergency stockpile of critical minerals.



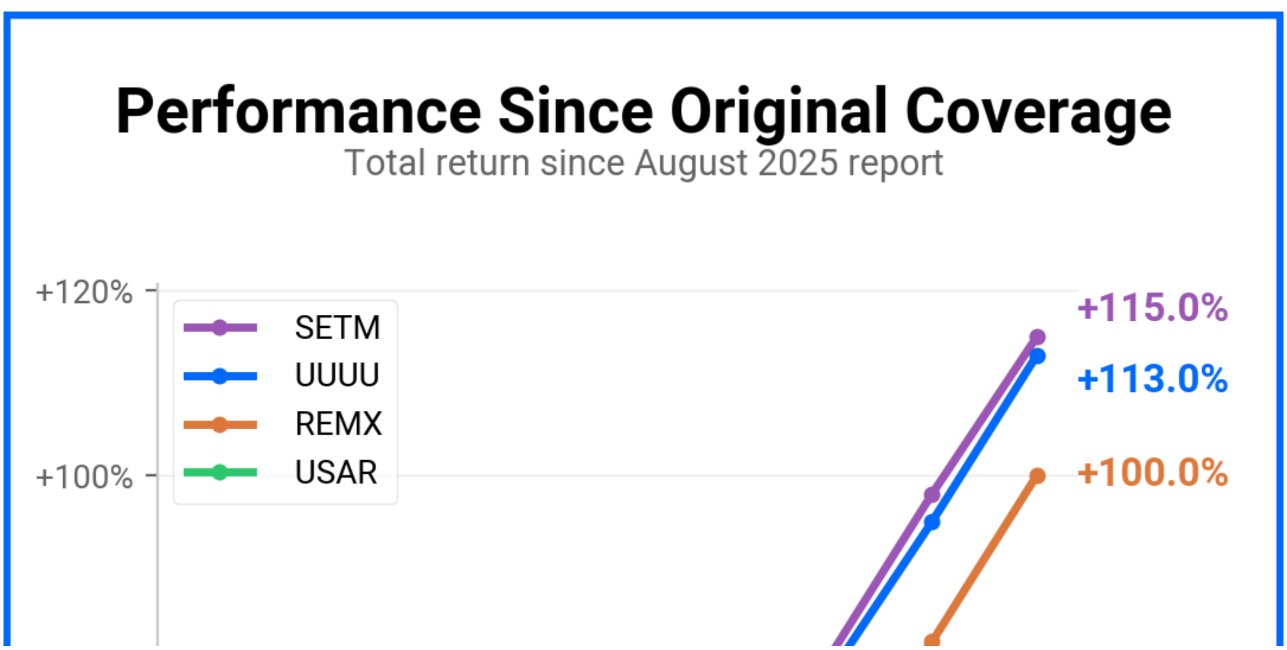
Data via various sources

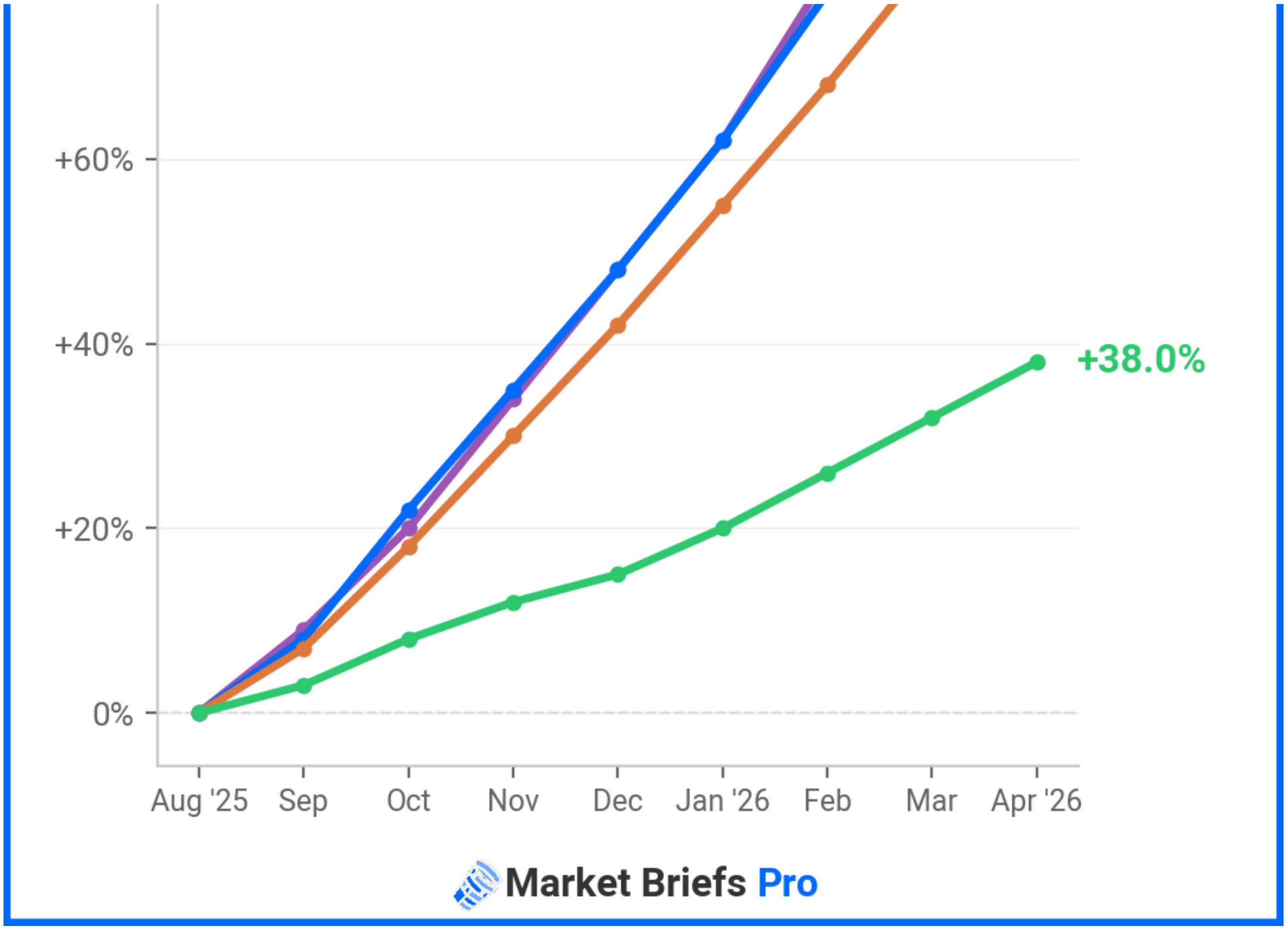
Not only did we spot the major catalysts - but the opportunities we picked are all outpacing the S&P 500 this year.

So this week, we want to revisit this Government Shift that is reshaping an entire industry:

Rare earths have gone from being an everyday commodity to a matter of national security - and that change is creating potential opportunities for investors who are paying attention.

Let's break down what's going on, how this shift is benefiting individual stocks, and where the money may be headed next.





Data via Briefs Terminal

ANALYST TAKE

Tickers we're tracking:

Government Play: MP

Dual-Thesis: UUUU

Growth Potential: USAR

ETFs: REMX, SETM

THE SHIFT

Small Rocks, Big Impact

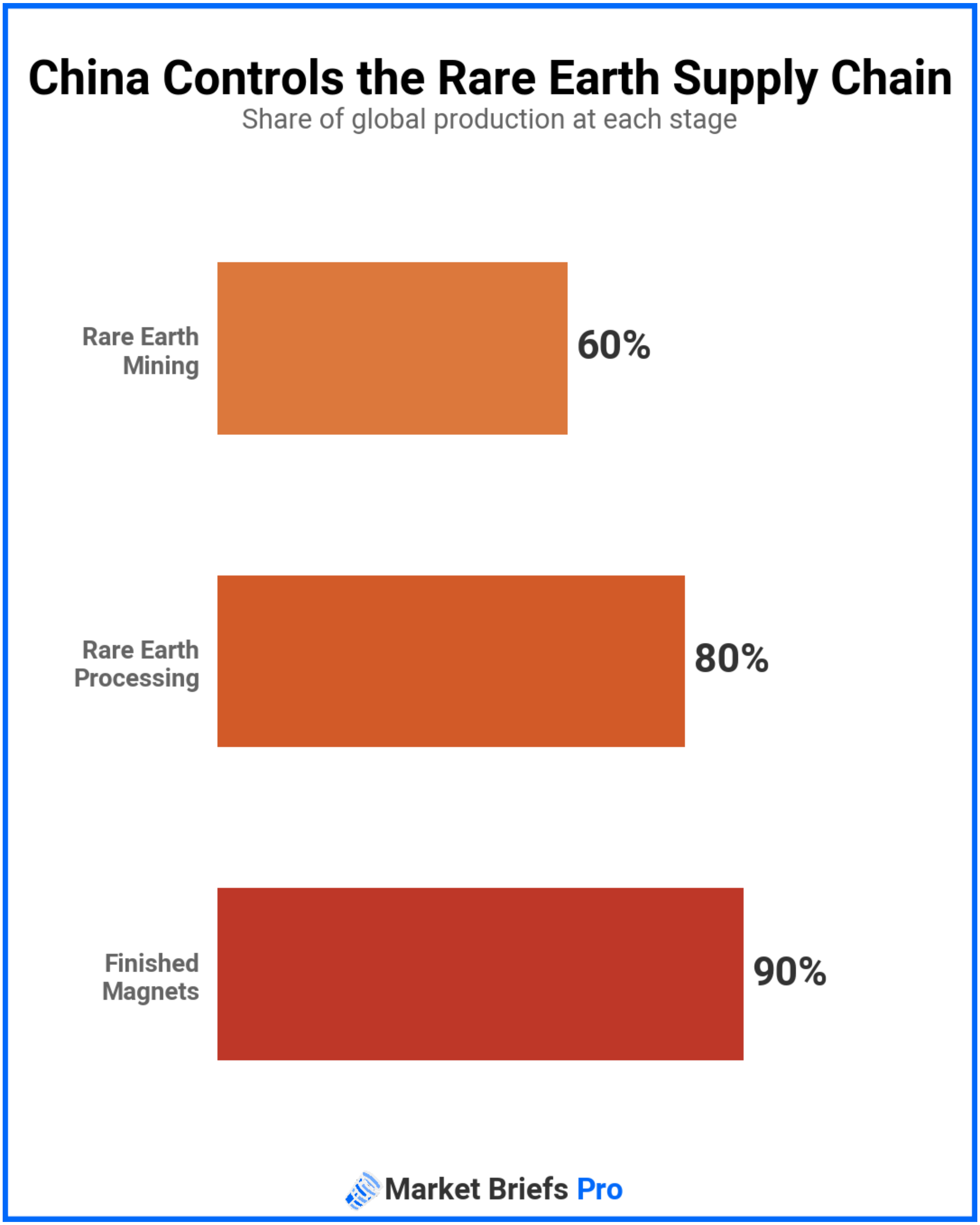
First - what are rare earths?

They are a group of 17 metals that go into almost everything we use.

- Your phone, your car, military jets, wind turbines - all of them need rare earth materials to work.

The problem: One country dominates this entire industry.

China is responsible for about 60% of all rare earth mining - it handles 80% of the processing work.



- It also manufactures 90% of the world’s finished magnets.

That means most of the world depends on one country for materials that power everything from defense systems to everyday electronics.

And in 2025, China started using that control as leverage.

China began applying export restrictions on rare earth materials in April 2025 and doubled down in October.

The message was clear: China can turn this supply on and off whenever it wants.

That's exactly why the U.S. government stepped in with the biggest rare earth investment push in American history.

The Department of Defense has committed roughly $900 million to MP Materials (MP), which includes $400 million in equity.

MP is the only Western company that can mine rare earth ore and turn it into finished magnets under one roof.

That deal made the U.S. military MP's biggest investor.

- It also includes a 10-year contract guaranteeing $140 million per year in earnings at full production.

The government also launched Project Vault - a $12 billion program to stockpile critical minerals.

And starting January 1, 2027, the Pentagon will ban Chinese-made rare earth magnets from the entire defense supply chain.

An estimated 78% of weapons programs are affected.

All of that demand has to come from somewhere that isn't China. And right now, very few companies can fill that gap.

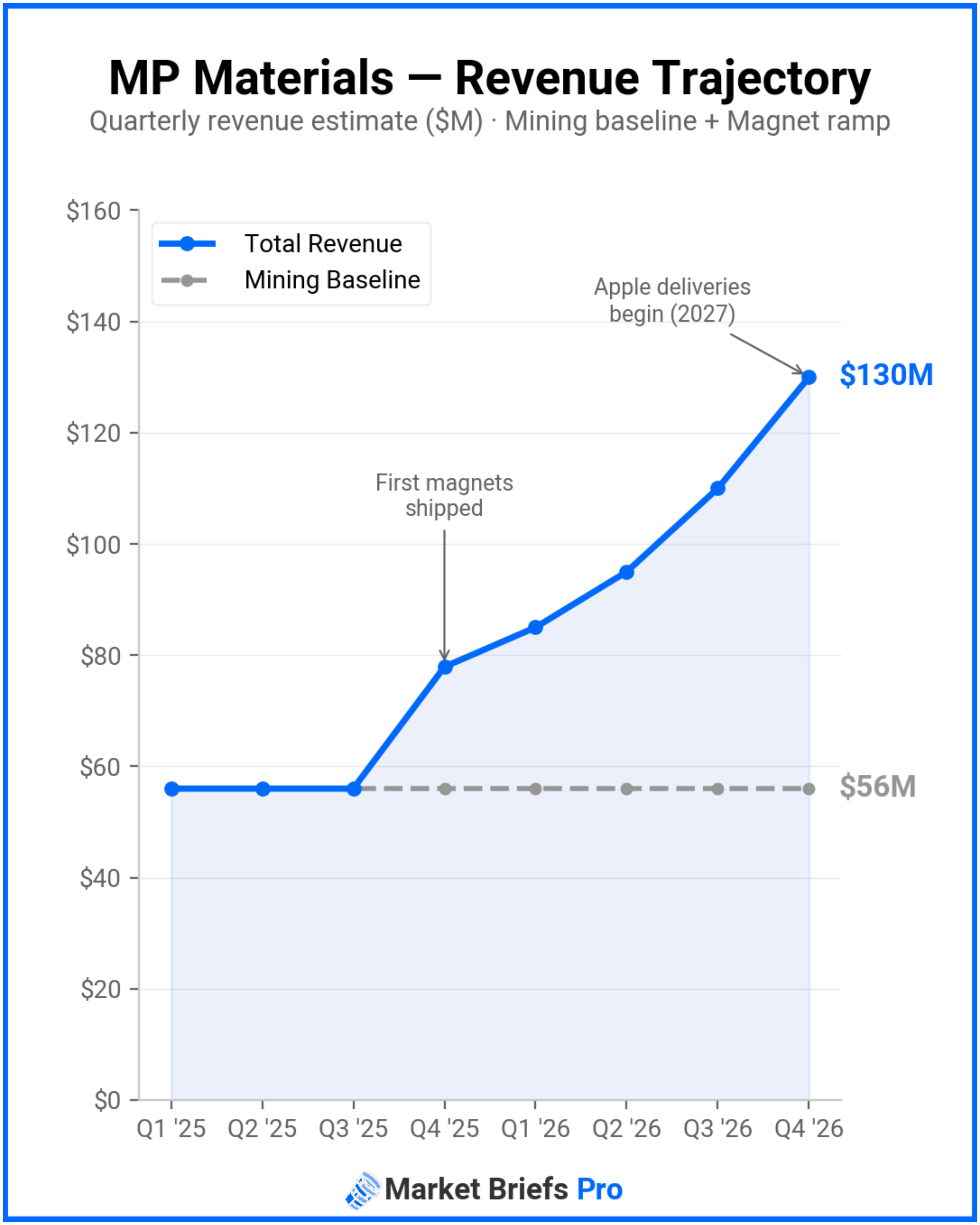
Let’s discuss a few next.

MARKET LEADER

America's Rare Earth Leader

MP Materials (MP) operates Mountain Pass in California - the only active rare earth mine and processing facility in the U.S.

Fort Worth, Texas, where it produced its first finished magnets in December 2025.



Data via MP Reports & Briefs Finance modeling

- That facility brought in $21.9 million in revenue in its very first quarter of operation.

Northlake, Texas, designed to increase magnet capacity from about 1,000 metric tons to 10,000 metric tons by 2028.

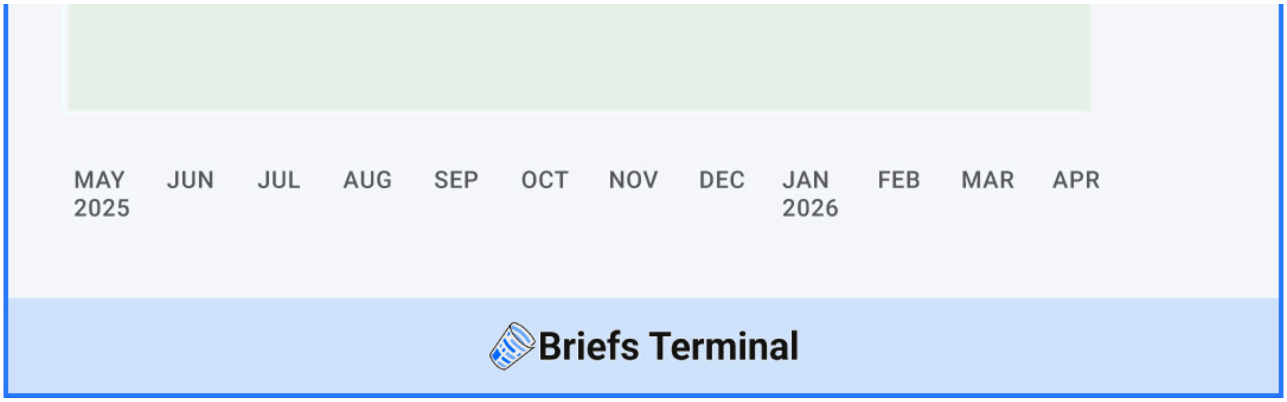
Apple has also signed on as a customer, locking in a $500 million deal for recycled rare earth magnets from the Fort Worth plant, with deliveries starting in 2027.

In its most recent full year, MP brought in $224 million in revenue.

Wall Street expects that number to grow significantly as its magnet business ramps up through 2026 and 2027.

The company is not a traditional mining operation anymore. It has government backing, guaranteed buyers, and a clear path to becoming a defense-grade manufacturer.

That's why investors may want to keep an eye on MP as the rare earth shift picks up speed.



Data via Briefs Terminal

Exit Trigger: The biggest risk is a major delay in building its 10X Facility in Texas.

If that project slips past 2029, MP will be stuck at roughly 1,000 metric tons of capacity while the Pentagon needs 10,000.

- That could force the government to issue waivers on the 2027 ban or look elsewhere.

A secondary risk is rare earth prices falling below the Defense Department's $110/kg floor for three or more months - which would signal a serious drop in demand, not just Chinese price manipulation.

DUAL INVESTMENT

The Dual-Thesis Driver

Energy Fuels (UUUU) gives investors something unique - exposure to two major investment opportunities at once.

Here’s the breakdown:

The company runs the White Mesa Mill in Utah - the country's only licensed facility for traditional uranium processing.

That's its first advantage: Tapping into the growing demand for nuclear energy (which we’ve covered in past reports).

But White Mesa also has a permit to process rare earth minerals from monazite sand - making it the only U.S. facility that can do both.

And in 2025 and early 2026, Energy Fuels reached a breakthrough.

The company successfully created ultra-pure dysprosium oxide and

China has near-total control over.

These are critical for high performing magnets - and now, the U.S. can get them domestically.

- This was the first time the U.S. had produced these critical materials in decades.

Energy Fuels (UUUU)

Dual Exposure Advantage

+113% Since Coverage

URANIUM	RARE EARTHS
Only licensed traditional uranium processing facility in the U.S.	99.9% pure dysprosium & terbium oxide achieved
White Mesa Mill, Utah	First U.S. production in decades
Taps into growing nuclear energy demand	2027 Pentagon ban drives guaranteed demand
Revenue safety net if rare earth prices pull back	Toliara project: $1.8B projected value (Madagascar)

Both sides failing at the same time is unlikely

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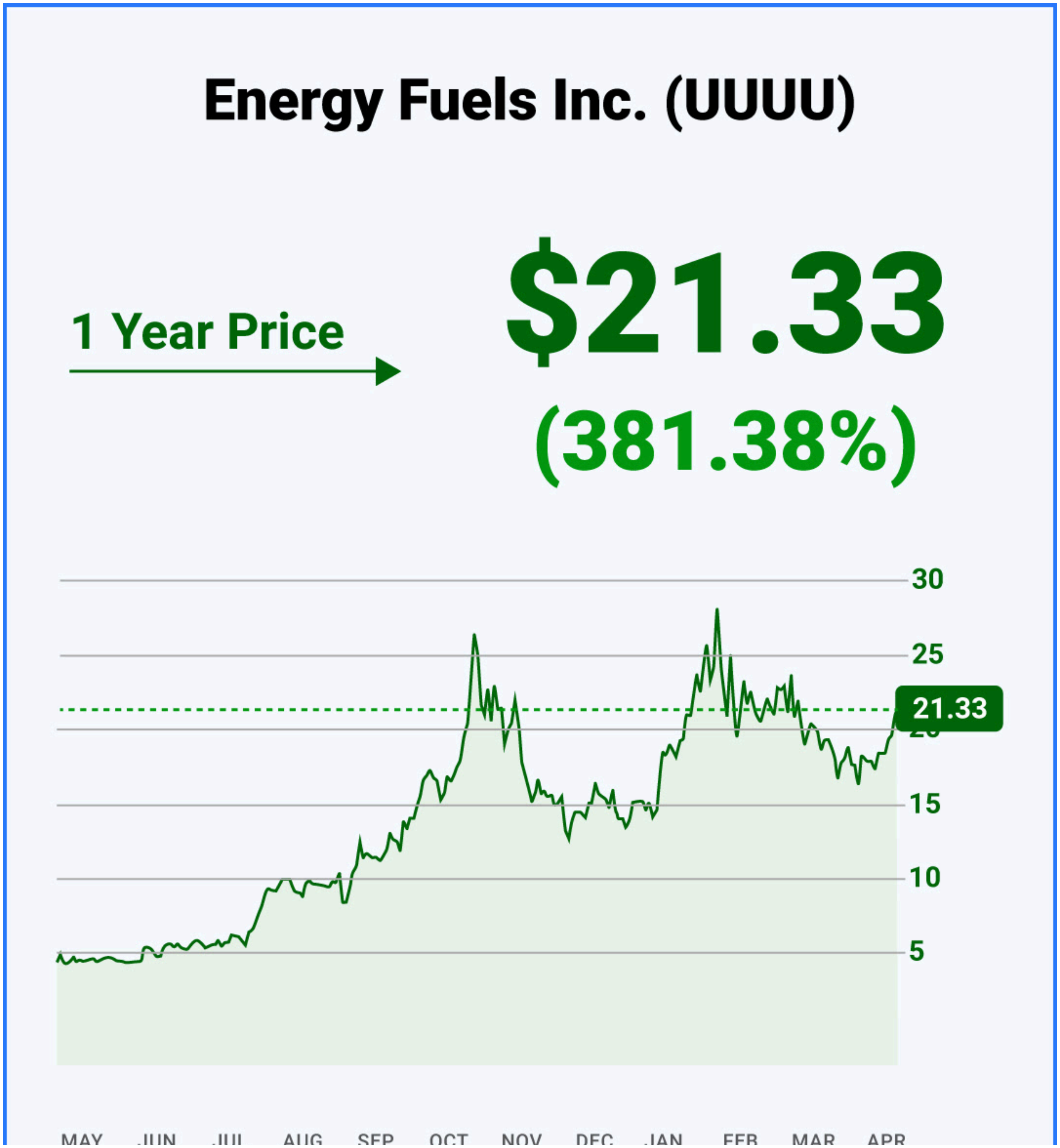
Since our original coverage in August 2025, shares of Energy Fuels have climbed 113%.

The investment case here is about protection. If rare earth prices pull back, uranium revenue provides a safety net.

If nuclear energy cools down, the 2027 Pentagon ban still drives rare earth demand.

Both sides failing at the same time is unlikely - which may make UUUU one of the more balanced ways for investors to play the critical minerals trend.



Data via Briefs Terminal

Exit Trigger: If Energy Fuels fails to scale its heavy rare earth production from small pilot batches to full commercial volumes.

If White Mesa can't hit its 2027 targets, the rare earth side of the story weakens and the stock becomes a pure uranium play at a stretched valuation.

There's also political risk tied to its Toliara mining project in Madagascar - instability there could derail a project worth $1.8 billion in projected value.

We’ve seen this happen with other stocks, like Barrick Mines in Africa - if the country takes control of UUUU’s mines, that would hurt its bottom line.

NEW PRODUCTION

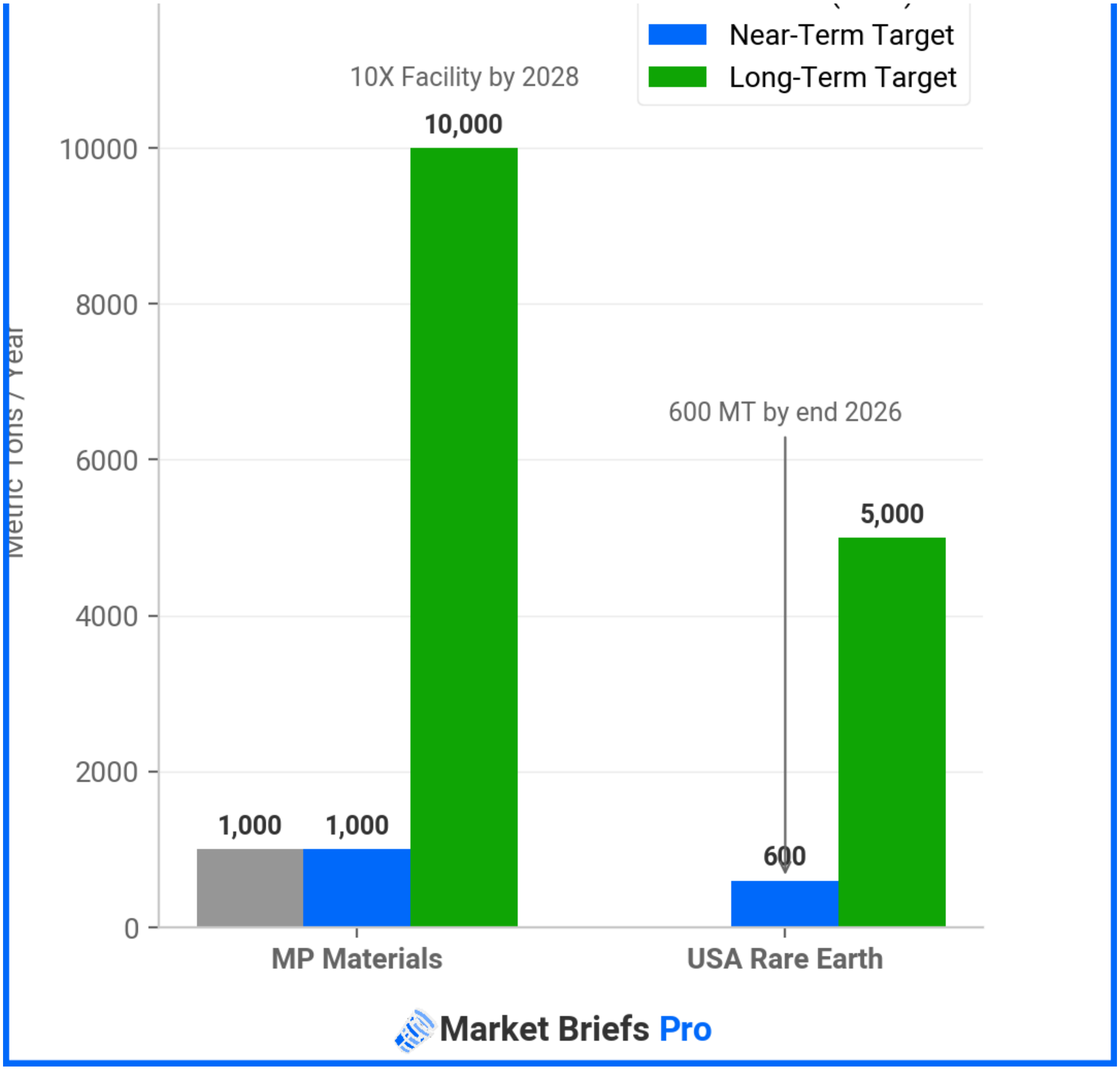
Seeing Potential

USA Rare Earth (USAR) is the highest-risk name on this list - but also carries the biggest potential reward.

Like the others, the company is developing a domestic supply chain for rare earths here in the U.S.

And almost one year after we reported on this potential opportunity, USAR has hit a turning point.

It finished building Phase 1A of its magnet factory in Stillwater, Oklahoma, and began producing magnets for the first time.



Data via USAR Investor Relations

- Customer shipments are expected to start in the second quarter of 2026.
- The company plans to scale production to 600 metric tons by year-end 2026, and eventually reach 5,000 metric tons.

USAR also has $359.9 million in cash on hand - enough to fund its growth without selling new shares and diluting current investors.

Its recent partnership with Arnold Magnetic Technologies gives it a channel to sell magnets beyond just defense contracts.

Shares are up 38% since our initial coverage - showing the potential for its business is something Wall Street has hopes for.

stages of generating revenue.

If production stumbles or the upcoming feasibility study disappoints, the stock could pull back quickly.

Investors with a higher tolerance for risk may find this one worth watching - but it should be a smaller piece of any portfolio, not a core holding.

Data via Briefs Terminal

Exit Trigger: The company has just started production, which can make it vulnerable.

If its first customer deliveries in mid-2026 disappoint, or its production ramp to 600 metric tons stalls, the stock could quickly reprice back to pre-revenue levels.

USAR also depends on outside suppliers for its rare earth inputs - any disruption in that supply chain could halt production entirely.

The feasibility study due in Q3 2026 is the key moment - if the economics don't hold up, the path to 5,000 metric tons gets much harder to achieve.

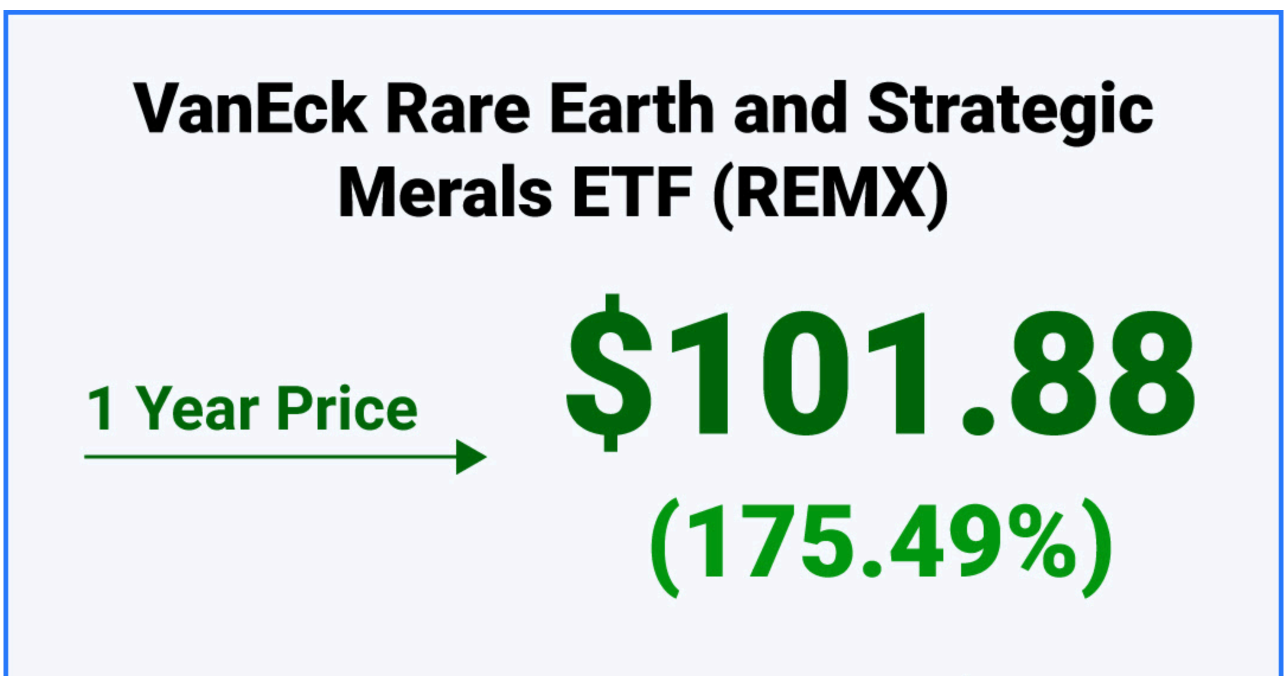
GEOPOLITICS

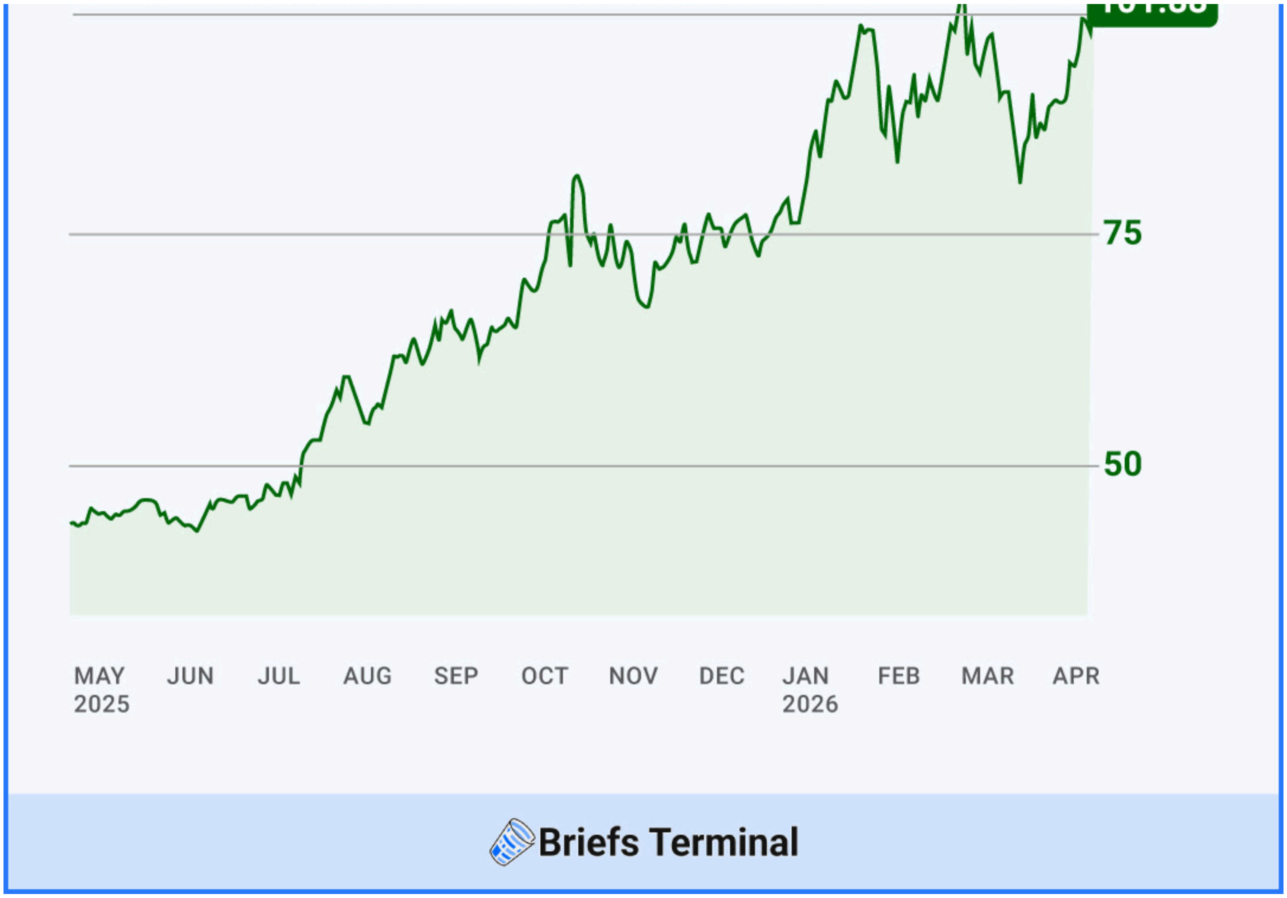
A Broader Approach

For investors who prefer to spread their risk, there are two ETFs worth considering in this space.

The VanEck Rare Earth & Strategic Metals ETF (REMX) is focused specifically on the rare earth industry.

Over the last 12 months, it has more than doubled in value and now manages over $1.2 billion in total assets.

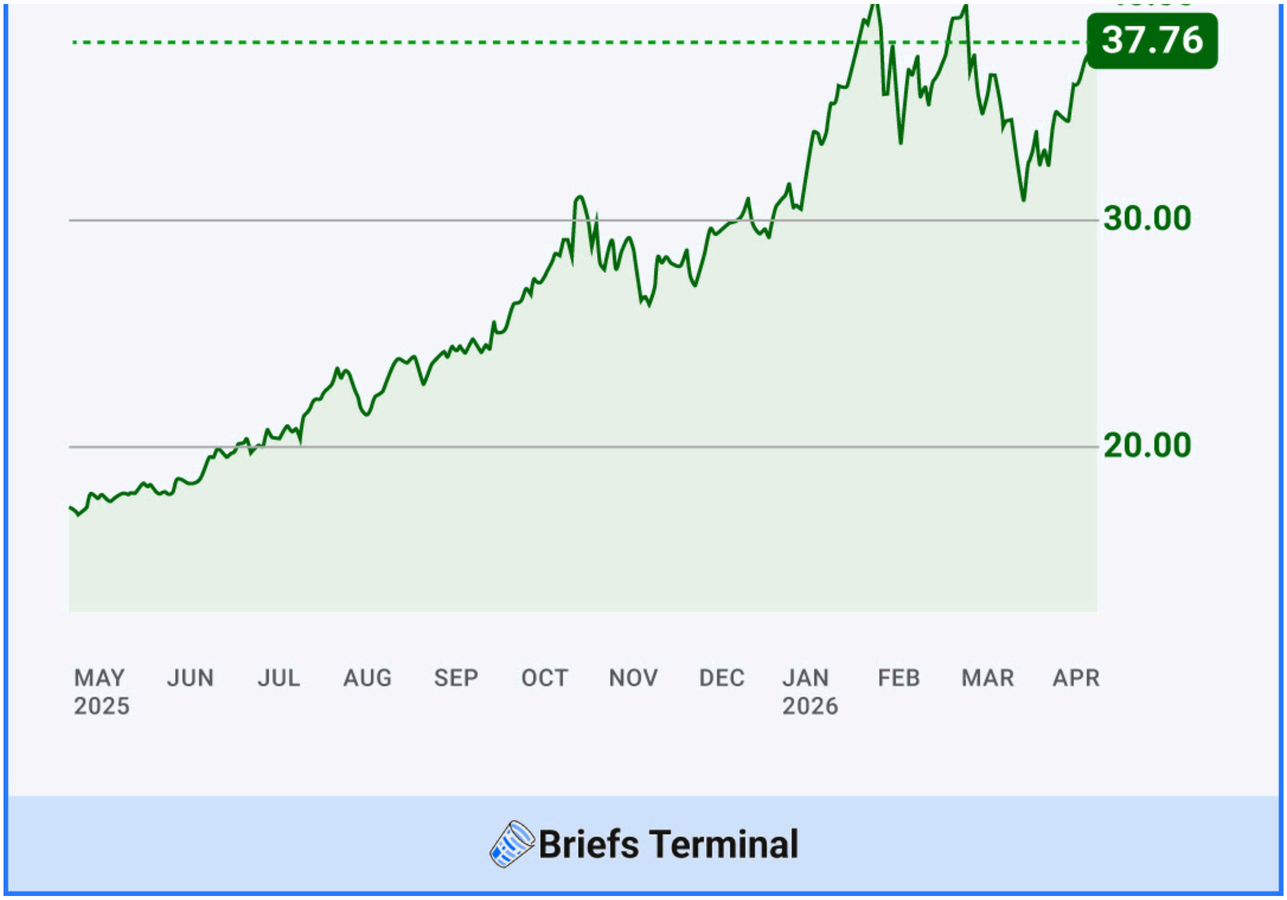




Data via Briefs Terminal

- REMX gives investors concentrated exposure to the rare earth theme without picking individual stocks.

The Sprott Critical Materials ETF (SETM) spreads across 134 different companies involved in rare earths, uranium, copper, lithium, and several other key minerals.



Data via Briefs Terminal

- SETM has gained roughly 173% over the past year and manages about $552 million.

For investors who believe the shift toward securing critical resources goes beyond just rare earths, SETM may offer the broadest exposure available.

ETF Snapshot

Rare Earth & Critical Minerals ETFs

	REMX	SETM
Full Name	VanEck Rare Earth & Strategic Metals ETF	Sprott Critical Materials ETF
Focus	Rare earth industry specific	Broad critical minerals (RE, uranium, copper, lithium)

Holdings	rare earth exposure	across key minerals
12-Month Return	~100%+	~115%
AUM	$1.2 Billion	$552 Million
Best For	Pure rare earth thesis investors	Broad critical resource exposure

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Data via Briefs Terminal

RISKS

How This Shift Could Change

China is still the biggest variable. If trade tensions ease significantly, urgency around rare earth independence could slow down - which would put pressure on prices and these companies.

There's also execution risk. Building mines and factories is expensive, complex, and takes years.

- Delays, cost overruns, or technical failures could set back any of these companies.

And while there is no realistic substitute for rare earth magnets today, that could change.

Scientists are researching alternatives - though none are close to being commercially ready within the next several years.

Finally, many of these names are not yet consistently profitable.

If the broader market turns negative or investor appetite for risk shrinks, smaller companies like USAR could be hit hardest.

REVIEW

Rare earths have moved from a niche commodity to a national security priority.

The U.S. government is putting billions of dollars behind American companies that can mine, process, and manufacture these materials domestically.

China's export restrictions only reinforced why this matters - and the January 2027 Pentagon ban will force even more demand into the handful of companies that can deliver.

Whether through individual names or ETFs like REMX and SETM, investors may want to keep this shift on their radar as the race for rare earth independence continues to heat up.

- Market Briefs Pro Team

*The Market Briefs Pro team often invests in the same stocks and assets we cover.

Why? Because we believe in practicing what we preach (and preaching what we practice).

But keep in mind: We're not financial advisors. Everything we provide is for education. You've got to do your own due diligence and think about what makes sense for your own financial situation. Investing has risks.

You are never guaranteed to make money when you invest, you might even lose money. If you're looking for personalized financial advice, we highly recommend speaking with a licensed financial advisor.

Our mission? It's simple - to help you be better with money.

Included interviews have been edited for length and clarity.

Stock prices were captured on Wednesday, April 15th, and may not reflect current prices at the time of reading.